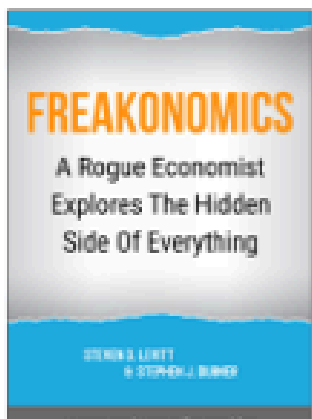




FREAKONOMICS

A Rogue Economist Explores
the Hidden Side of Everything

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Introduction

Economics is fundamentally about understanding how people respond to incentives to get what they want and need. **This book explores the hidden side of things—from crime to parenting—to show that things are often not what they seem. We tend to see things through our morals and ideals, when everything actually operates based on economic incentives and disincentives.**

The book comprises 6 key chapters with no unifying theme. In each chapter, the authors ask a seemingly-strange question, then use detailed stories and data to uncover the unexpected and often-uncomfortable truths:

Question	Freakonomics Answer
What do school teachers and sumo wrestlers have in common?	They respond to incentives, and will cheat if the incentives are "right".
How is the Ku Klux Klan like a group of real estate agents?	They both use/manipulate information for their own gains. Information is power.
Why do drug dealers still live with their moms?	Most drug dealers make much less money than we think. Conventional wisdom is often wrong.
Where have all the criminals gone?	The fall in crime rates in the U.S. in the 1990s was <i>not</i> due to most of the factors we read about in the newspapers.
What makes a perfect parent?	Parenting strategies and techniques matter much less than you think.
Would a Roshanda by any other name smell as sweet?	Names are correlated with your life outcomes, but they're only a reflection (not a cause) of your circumstances.

In the next section, we'll dive into each of the 6 areas of discoveries addressed in this book.

KEY QUOTES

"What this book is about is stripping a layer or two from the surface of modern life and seeing what is happening underneath."

"Morality...represents the way that people would like the world to work—whereas economics represents how it actually does work."



Uncovering the Hidden Side Of Things



Incentives and Cheating

Our world revolves around incentives. To understand and solve problems, we must figure out how incentives really work.



An incentive is basically a way of encouraging people to do more (or less) of something, e.g. rewards for getting good grades vs punishments for bad behavior. Incentives are the building blocks of economics: almost every decision can be explained through incentives. To be effective, they must relate to things that people want or need.



There are 3 types of incentives: economic, social, and moral. Most incentive schemes include all 3 elements.

- For example, people may avoid crime due to a mix of economic incentives (to avoid being fined or jailed), moral incentives (to do what's "right") and social incentives (to be seen in a good light).
- A day-care center wanted parents to pick up their kids on time, so they levied a \$3 fine for parents who were late. However, the number of late pickups actually *doubled*. That's because the fine was too affordable, sent the wrong signal that being late wasn't a big deal and removed the parents' guilt of being late. Without a moral incentive, parents continued to be late even when the \$3 penalty was removed.



People cheat in order to get more for less. When the stakes are high enough, *anyone* may cheat. To prevent cheating, you must understand what people want, how they think and how they'd respond to specific incentives or disincentives.

- In 1996, "high-stakes testing" was introduced in Chicago public schools. Any school with low scores may be shut down and the teachers could lose their jobs. In addition, students could only move up to the next level with a minimum score on a standard test. The intention was

KEY QUOTES

"Economics is, at root, the study of incentives: how people get what they want, or need, especially when other people want or need the same thing."

"An incentive is a bullet, a lever, a key: an often tiny object with astonishing power to change a situation."

"Cheating is a primordial economic act: getting more for less."

to improve education standards, but teachers ended up cheating and inflating their students' scores to keep their jobs.

- In sumo-wrestling, a wrestler's ranking defines his entire career, from his income to status and treatment. So, to protect their rankings, elite sumo wrestlers in Japan ended up colluding with one another to rig or throw matches.
- Blood donors who were paid for their blood donations donated *less* blood than those who were merely praised. Those who were offered a big incentive (e.g. \$5,000 per pint) may even resort to using fake blood to get the incentive.

 So, are most people honest on a typical day?

- Paul Feldman's bagel business sheds some light on this question. Feldman delivered thousands of bagels daily to >100 companies and returned later in the day to collect the cash basket and leftovers. By tallying the money collected against the number of bagels taken, he found that most clients were honest with their payments, and an "honest" company would have a payment rate of >90%.
- However, payment rates fluctuated due to a wide range of factors. Small offices were generally more honest than big ones (possibly due to the greater social incentives or fear of shame), and people paid more in good weather than in bad weather. During certain holiday seasons (e.g. Christmas week), theft rate increased while payment rates decreased. Yet, payment rates improved for other holidays (e.g. Labor Day) and in the aftermath of the 11 Sep 2001 terrorist attacks (when people were possibly more empathetic). Moreover, people were more likely to steal his bagels than his cash, probably due to the social stigma attached to theft, and the small amounts of money involved.



The Power of Information

Information (or the lack of it) can strongly influence behaviors and decisions. Its impact depends on who possesses it and how it's used.

KEY QUOTES

"A thing worth having is a thing worth cheating for."

"Information is a beacon, a cudgel, an olive branch, a deterrent—all depending on who wields it and how."



Information is power. Information asymmetry occurs when one party in a transaction has better information than the other party.

- The Ku Klux Klan (KKK) is an American hate-group that initially targeted African Americans, then Jews, Catholics, communists, immigrants, and other minority groups. It thrived in the 1860s, then the 1920s and 1950s, operating like a terrorist group in cahoots with leaders in politics, business, and law-enforcement. After WWII, writer Stetson Kennedy sought to bring down the KKK in collaboration with John Brown. They infiltrated the KKK then made its secrets public through a novel and radio shows. Armed with specific information, Americans who opposed the KKK could now choose to take action, while those who may have embraced them were now reluctant to join/support the KKK. As a secret society, KKK's power came from its secrecy; it lost its advantage once those secrets were exposed.
- Even assumed information can have a big impact. A new car loses about 25% of its value overnight. The devaluation will happen even if you tried to sell the car within the next week, because people will simply assume you bought a lemon.



Many of us assume that experts (e.g. doctors, lawyers, brokers) are incentivized to act in our best interest. In reality, they exploit their informational advantage for *their* benefit, not yours.

- In theory, real-estate agents should get the best possible offer for your home so they can earn higher commissions. Yet, a study of real-estate sales revealed this: real-estate agents took on average 10 days longer to sell their own homes, and secured 3% higher prices compared to when they sold clients' homes. That's because an agent only earns a fraction of your home's selling price (especially if the commission is shared between buyer and seller agents). The incremental commission simply isn't worth the extra time effort required to secure the best price. For example, if you accept an offer of \$475,000 instead of your targeted \$500,000, the agent may earn \$375 less, but he/she can close the deal quickly and move on to the next one.

KEY QUOTES

"Nothing is more powerful than information, especially when its power is abused."

"What better way to defang a secret society than to make public its most secret information?"

"Experts are human, and humans respond to incentives. How any given expert treats you, therefore, will depend on how that expert's incentives are set up."

"The point here is not that real-estate agents are bad people, but that they simply are people—and people inevitably respond to incentives."

- In extreme cases, experts may even use information asymmetry to commit crimes, hide true information or promote false ones. Such “*sins of information*” include the Enron scandal in the early 2000s, and how WorldCom and Global Crossing fabricated revenue figures to increase stock prices.
- The *internet* has partially levelled the playing field by reducing the information gap between the experts and the public. For example, the price of term life insurance fell drastically after users could compare policy prices online. You can now find information on almost anything online instead of relying solely on salespeople’s or experts’ inputs.
- Even with the internet, experts can still use information asymmetry to *play on your fears*, e.g. fear of losing out or making a wrong choice if you don’t follow their advice. They count on you (i) having less information and not knowing what to do with the information, and/or (ii) respecting their expertise enough not to challenge them.

 In reality, everyone abuses information, not just experts.

- All of us present selective information about ourselves, e.g. portraying our best front during an interview or a first date. Often, we’re unaware that we’re doing so.
- Studies of TV variety programs and dating apps found that people discriminate against others based on their race, gender, income levels etc. This could be due to personal tastes/preference or assumed information (e.g. biases and stereotypes about certain races or genders).



The Fallacy of Conventional Wisdom

Most conventional wisdoms are actually wrong. You can ask good questions about things people care about to uncover underlying truths, overturn conventional wisdoms and create a huge impact.

 Economist John Kenneth Galbraith coined the term “conventional wisdom” to describe notions that reinforce people’s self-interests, self-esteem and well-being. In

KEY QUOTES

“One characteristic of information crimes is that very few of them are detected. Unlike street crimes, they do not leave behind a corpse or a broken window.”

“Armed with information, experts can exert a gigantic, if unspoken, leverage: fear.”

“If you can question something that people really care about and find an answer that may surprise them—that is, if you can overturn the conventional wisdom—then you may have some luck.”

short, conventional wisdoms may be “simple, convenient, comfortable, and comforting” but they’re also usually wrong.

- Many conventional wisdoms come from news media and advertisements since they use jarring “facts” to grab attention.

(i) In the 1980s, Mitch Snyder—an advocate for the homeless—claimed that about 3 million Americans were homeless, a shocking figure that meant 1 in every 100 Americans were homeless. Later, he admitted that he’d fabricated the number under pressure from the journalists. Unfortunately, it’s not uncommon for “experts” and advocates to inflate numbers to win support for their cause.

(ii) Likewise, no one paid much attention to bad breath until Listerine was marketed as the solution for “chronic halitosis”. Since then, halitosis was seen as a real medical concern.

 Regardless of the source and accuracy, conventional wisdom is hard to change once it’s created. The authors spend the bulk of one chapter showing that drug dealing (especially crack dealing) is not as profitable as we’ve been led to believe.

- In 1989, a university undergraduate in Chicago, Sudhir Venkatesh, got to know members of the Black Gangster Disciple Nation while doing surveys in the district. Intrigued by how they operated, he practically lived with them for 6 years to study them and even got access to 4 years’ records of the gang’s financial transactions. Later, Venkatesh collaborated with Levitt to analyze the data and present a paper on the gang’s operations.
- As it turns out, a gang is organized like any business, especially an established franchise like McDonalds. Each gang is merely a branch/franchise of a larger organization run by a board of directors. Each gang pays a percentage of revenues for the right to sell crack in a designated area. The gang leader is supported by officers (e.g. enforcer, treasurer, runner) who manage the remaining foot soldiers.

KEY QUOTES

“Working together, journalists and experts are the architects of much conventional wisdom.”

“A little creative lying can draw attention, indignation, and—perhaps most important—the money and political capital to address the actual problem.”

- Like any other capitalist enterprise, only a small proportion of people at the top of the pyramid make lots of money. In the gang that Venkatesh studied, the leader earned \$66 per hour, but the officers only earned \$7 an hour while the foot soldiers earned \$3.30 an hour (below minimum wages).
- So, how did we get the impression that crack dealing is so lucrative? That's partially due to the stories spun by the police to justify how hard it is to fight against drug dealers armed with advanced weapons and deep pockets.

 In the end, wages in any profession are determined by 4 factors: (i) the number of people available to do the job, (ii) the specialized skills required, (iii) the unpleasantness of a job, and (iv) the demand for the services.

- Crack dealing pays poorly like most glamour professions (e.g. sports, movies, music, and fashion) where lots of people compete for a few prized spots. You must start at the bottom, work hard at substandard wages, and consistently deliver outstanding performance to make it to the top. Criminals respond to incentives like everyone else, and are willing to slog it out for a chance to win big.
- By contrast, an average prostitute earns more than an average architect because few people aspire to become a prostitute, the skills are applied in a highly-specialized context, the job is unpleasant and there's a high demand for their services.

 The authors also looked at what crack cocaine has in common with nylon stockings.

- Before nylon stockings were invented, silk stockings were only affordable for the high-class. Nylon stockings basically made this classy item available to the masses.
- Likewise, cocaine used to be considered a classy drug used exclusively by the rich and famous. However, crack cocaine could be produced with tiny amounts of cocaine, making the drug affordable to the masses and leading to the crack boom.

KEY QUOTES



Uncovering Distant, Unexpected Causes

Small, indirect and remote causes can trigger huge, unexpected outcomes. To understand and simplify our complex world, you must know what to measure and how to do it. The authors explain how they used data to filter out the facts vs myths of crime.



In 1966, Romania's Communist dictator Nicolae Ceaușescu made abortion illegal in order to boost Romania's population. Within 1 year of the ban, Romania's birth rate had doubled, but with unexpected consequences. As a cohort, children born after the ban did worse in all areas compared to those born a year earlier—they scored lower in school, had less success at work and were more likely to resort to crime. In fact, Ceaușescu himself was overthrown (and eventually killed) due to the revolt by young people who wouldn't have been born if not for his ban on abortion.



In the 1990s, crime rates in the U.S. started to drop drastically after a period of increase. Experts struggled to explain why this happened. Levitt reviewed 8 of the most-cited explanations, and showed that only 3 of them contributed to the decrease in crime. In fact, the #1 reason for the fall in crime wasn't even mentioned in the newspapers.

- A strong economy (and a stronger job market) wasn't really correlated with crime rates. In any case, it would at most affect money-motivated crimes (e.g. theft, burglary, robbery) and not violent ones (e.g. homicide, assault, rape).
- More imprisonments accounted for roughly one-third of the drop in crime, but still left two-thirds unaccounted for. On the other hand, capital punishment didn't really affect crime rates since it rarely happened and would account for at most one twenty-fifth of the drop in homicides.
- An increase in the number of police did significantly reduce crime rates, but innovative policing strategies (e.g. smart policing or cracking down small crimes to prevent bigger ones) didn't.

KEY QUOTES

"Dramatic effects often have distant, even subtle, causes."

- The availability of guns did explain the relatively high homicide rate in the U.S. Yet, guns alone can't be the main explanation since Switzerland is one of the safest places in the world despite having the highest firearms-per-capita compared to other countries. Levitt presents data to show why various gun laws haven't been effective in crime reduction. The bursting of the "crack bubble" also contributed to the drop of crime, since profits for dealing crack had become so low that fewer dealers were interested in the job.
- Data analysis also showed that an aging population had no influence on crime rates.



The biggest contributor to the drop in crime actually came from a development 20 years ago—the legalization of abortion. From the late 1960s, abortion was progressively legalized in various U.S. states before it was legalized in the whole country in the 1973 Roe v Wade judgment.

- An analysis of the correlation between each state's abortion rate and crime rate showed that:
 - (i) States with the highest abortion rates in the 1970s experienced the greatest crime drops in the 1990s, whereas those with low abortion rates had smaller crime drops; and
 - (ii) For states with high abortion rates, the entire drop in crime happened mainly in the post-Roe cohort.
- In short, legalized abortion led to less unwanted babies growing up in uncondusive environments, which led to less crime. Studies in Australia and Canada found a similar link, and we'd seen a similar impact in Romania in the example earlier.
- It may be more comforting to believe that the decrease in crime was due to factors like brilliant policing or law changes. However, the data tells a different story: **legalized abortion had a bigger impact on reducing crime rates than other factors cited.**

KEY QUOTES

"The very factors that drove millions of American women to have an abortion also seemed to predict that their children, had they been born, would have led unhappy and possibly criminal lives."



Being the Perfect Parent

Many parents are obsessed about doing the right things to ensure their children's success. However, data suggests that the things parents *do* matter less than who/what they *are*.



Experts often play on parents' fear for their children, especially their safety. Generally, we're bad at risk-assessment: we over-react to things that scare us and under-react to things that kill us.

- According to Peter Sandman, people tend to evaluate risks based on the "outrage" factor more than the actual hazard itself. Things that're beyond our control tend to trigger more outrage. That's why mad-cow disease seems more scary than the spread of food-borne pathogens in our kitchen, even though the latter is much more common. People also tend to fear flying more than driving, when the per-hour death rate is similar for both modes of transport. We're also more afraid of immediate risks than long-term risks.
- Parents are more afraid to let their kids go to a house with a gun than one with a swimming pool, when a child is 100x more likely to die in a pool than get killed by a gun. We can save more children's lives by focusing on the real, controllable risks (e.g. taking swimming pool precautions) instead of the scary ones (e.g. buying expensive car seats).



Every parent and "expert" has different advice on the best way to parent a child, and such advice tends to contradict one another.

- Many studies suggest that genes influence about 50% of a child's abilities and personality. What about the other 50%? And, should successful parenting be measured by the child's personality, morality, creativity, school grades, adult income or other factors?
- The 1990s Early Child Longitudinal Study (ECLS) by the U.S. Department of Education measured the academic progress of >20,000 students from kindergarten to fifth

KEY QUOTES

"No one is more susceptible to an expert's fearmongering than a parent...The problem is that they are often scared of the wrong things."

grade. By using regression analysis, you can examine the impact of 1-2 variables whilst holding the other variables constant to glean valuable insights.

- (i) The gap in test scores between black and white students was eliminated once you exclude the impact of their parents' income and education level, and the mother's age when she had her first child. In fact, black students in good schools performed better than white students in poor schools.
 - (ii) 8 factors that strongly affect academic performance are: the parents' education level, socioeconomic status, involvement in the PTA, the mother's age when she had her first child, the language spoken at home, the child's birthweight, whether the child was adopted, and whether the child has many books at home.
 - (iii) 8 factors that didn't matter were: whether the family is intact, whether they moved to a better neighborhood, whether the mother stopped working when the child was born, whether the child attended Head Start, whether the child was spanked frequently or watched TV regularly, and whether the parents read to the child regularly or brought the child to museums.
- These results suggest that parents matter, but not in the way people think. Parenting practices matter much less than the circumstances the child is born into, i.e. who the parents are and the lives they lead.



Names and Life Outcomes

Does the name given to a child affect his success or failure in life? Data shows that names are *correlated with* (but do not determine) people's life outcomes.



The names that parents choose for their children reflect their own status and expectations for the child, but those expectations may not always be fulfilled. In 1958, a man Robert Lane named his baby son "Winner". Three years later, he named his next son "Loser" (for reasons unknown). Decades later, Winner had a long criminal record while

KEY QUOTES

"It isn't so much a matter of what you do as a parent; it's who you are."

"People who can't be bothered to come up with a name for their child aren't likely to be the best parents either."

Loser was moving up the ladder in the New York Police Department. It seems that the boys' lives didn't play out according to their names. In fact, people avoided calling Loser by his real name and used alternative names like "Jimmy" or "Lou".



In the study of black culture, economist Roland Fryer Jr. found that black and white names are distinctly different. To investigate whether people's names affect their life outcomes, he dove into California's extensive birth-certificate database, which allowed him to trace the background of the parents as well as how each child turned out decades later.

- He found a clear divergence between black and white names since the 1970s. The blacks gave their children unique names whereas the whites tended to use more common names. The "whitest" names included names like Molly, Amy, Jake, and Conner. The "blackest" names included names like Imani, Ebony, DeShawn, and DeAndre.
- On average, someone with a distinctively black name will do worse in life than someone with a distinctively white name. First, the names are a reflection of the parents' socioeconomic status. Those with distinctively black names tend to come from low-income, low-education, single-parent backgrounds, and often get stuck in that cycle. Second, a black-sounding name comes with an economic penalty. When researchers send 2 fake resumes to prospective employers—which are identical except for the difference in names—the "white" resumes always get more job interviews than those with an immigrant or minority-sounding name.



In addition, when the babies' names are sorted by the parents' socioeconomic status, a clear disparity emerged between names given by low-income, middle-income, and high-income parents (and also for parents with high-education vs low-education). A pattern emerged: as certain names become popular among high-income, highly-educated families, they start to trickle down the socioeconomic ladder, until the name becomes so common that it loses its popularity. In short, (a) people are more likely to name their children after a well-to-do neighbor

KEY QUOTES

*"[Your] name is an indicator—
not a cause—of [your]
outcome."*

than a famous celebrity, and (b) you can predict the most common baby names 20 years later by studying the baby names that are currently the most popular among the upper-class.

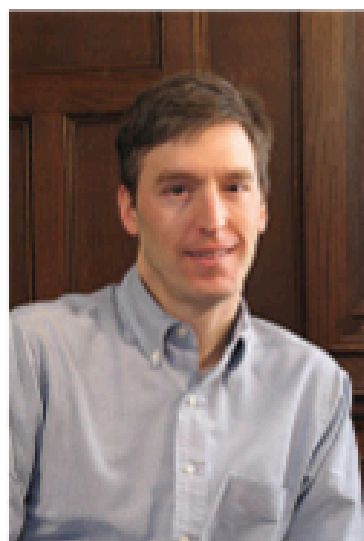


Conclusion and Other Details in the Book

The main message of this book is to look beyond conventional wisdom and rose-tinted lenses of what we wish or imagine the world to be. By asking lots of questions and analyzing facts/data in detail, you can start to figure out what's truly going on. Bear in mind that in most cases, even with regression analysis, you can only prove strong statistical correlation but not causality.

In the book, the authors provide much more details of the various examples and ideas outlined in this summary. The 2006 revised and expanded version of this book also includes additional articles and blog entries. For more details and resources, please visit freakonomics.com.

About the Authors



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KEY QUOTES

"If morality represents an ideal world, then economics represents the actual world."